

ENGLISH **LIVE**

47

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 47

4th APRIL, 2017



Final run-up to GST

The passage of four Bills is a milestone, but the devil lies in the details

The passage of four GST laws in the Lok Sabha on Wednesday — the Central GST Bill, the Integrated GST Bill, the Union Territories GST Bill, and one on compensating the States for the transition — could not have come as a surprise, but the furore it caused certainly did. The Opposition seemed nettled over an issue that has seen years of deliberation between the Centre and the States. The objections seemed to arise out of a general climate of political acrimony — made worse by the recent packaging of numerous rules and laws as Money Bills — rather than serious misgivings over the Goods and Services Tax as such. Even so, the passage of the four Bills marks a big step forward to a more consistent set of rates for goods and services across States, as against the jungle of Central and State levies and cesses that prevail today. The next step is for the GST Council to arrive at and recommend a set of rates, and the respective goods and services for each category. The ceiling rates are expected to be, besides 0 per cent, 5 per cent, 12 per cent, 18 per cent and 28 per cent; each of these rates would be the sum of CGST and SGST rates in the case of intra-State transfers, or the IGST rate in the case of inter-State transfers. The Council's task is to ensure that the exempted list is as small and uniform as possible across States, besides persuading most States not to vary their rates too much from its prescribed bands.

The Opposition seems to be going too far when it fears that the GST Council will turn into a supra-Parliament. The Council, with votes weighted in favour of the States, is expected to operate consensually — and this has been a mark of the GST negotiations. The law allows the States leeway to depart from a recommended SGST rate, even if that would dilute the spirit of the exercise. Therefore, the challenges ahead lie not in procedural matters such as the passage of SGST laws, but in ensuring that the GST Council displays the leadership skills to carry everyone along. The finance minister should bear in mind that a trial run will help sort out teething troubles.

One such could lie in the software. The monthly filing of GST returns is 'auto-populated' — which means that a registered supplier (one with a turnover above ₹20 lakh) must upload all details of his transactions, with the tax element, which can actually be accessed by the rest in his supply chain, besides, of course, the tax authorities. Such humongous data gathering has not been attempted elsewhere, and the software should be tested. The capacity of State tax authorities, so far used to taxing goods and not services, to deal with the latter is an unknown quantity. The success of GST depends on political consensus, technology and the capacity of tax officials to adapt to the new requirements.



DISCUSSION ON 4th April (Today)



DISCUSSION ON 5th April (tomorrow)

Stand Firm on Good Governance Norms

First ensure it is possible to enforce them

It is welcome that the government did not back down on the decision to switch over to tougher emission norms codified as Bharat Stage IV (BS-IV) for automobiles. This changeover was announced years ago and industry had plenty of time to switch production lines and be compliant by the deadline. If it thought it could game the system and blackmail the government with tales of inventory build-up that would be a dead loss, it thought wrong. This is all to the good. When the time comes for the automobile industry to switch over to BS-VI, on April 1, 2020, industry will know that the goalpost would not shift and will be ready with compliant vehicles probably ahead of schedule. A similar stand has been taken for tighter emission norms for power plants as well.

For too long, the Indian approach has been to frame laws and observe them more in the breach than otherwise. For long, governments have succumbed to threatened shocks to the system, such as a spurt in unemployment and opted to let implementation slide. That governments, central and state, are moving away from that model is welcome news. To set norms to ensure health, address environmental concerns, protect workers, etc, is good for all stakeholders — those who work in these sectors, the general public, and for the sector as well.



Often, tighter norms pave the way for innovation to improve processes. The government is supposed to be the one place where the interests of all groups are addressed. Laws and regulations are an instrument that ensures the well-being of diverse stakeholders. Fear of a backlash from one section should not lead the government to compromise the interest of others.

However, it is important for the norms that are to be enforced to be evolved after consultation and negotiation with all stakeholders, that there should be reasonable time for transition. Besides, the governance structure needed to enable the transition must be put in place. If qualified food inspectors must certify all food sold, for example, a large enough army of food inspectors must be ensured before that norm is enforced.



BusinessLine

FRIDAY, MARCH 31, 2017

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Final run-up to GST

THE HINDU
BusinessLine

Date : 31st March, 2017

Final run-up to GST

LIVE

The passage of four Bills is a *milestone*, but the *devil lies in the details*

- The passage of four GST laws in the Lok Sabha on Wednesday — the Central GST Bill, the Integrated GST Bill, the Union Territories GST Bill, and one on compensating the States for the transition — could not have come as a surprise, but the *furore* it caused certainly did.
- The Opposition seemed *nettled* over an issue that has seen years of deliberation between the Centre and the States. The objections seemed to arise out of a general climate of political *acrimony* — made worse by the recent packaging of *numerous* rules and laws as Money Bills — rather than serious *misgivings* over the Goods and Services Tax as such.
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GST WILL SUBSUME THE FOLLOWING INDIRECT TAXES ...

LIVE



STATES

▪ Central Excise Duty



▪ Service Tax



▪ Basic Customs Duty



▪ Central Sales Tax (levied by the Centre and collected by the States)



▪ Additional Customs Duty



▪ Special Additional Duty of Customs



▪ Central Cesses and Surcharges



▪ Value Added Tax



▪ Octroi Tax



▪ Entry Tax



▪ Purchase Tax



▪ Taxes on lotteries



▪ State Cesses and Surcharges



▪ Luxury Tax



▪ Entertainment Tax





WITH GOODS AND SERVICES TAX FROM 1st APRIL, 2017

ADVANTAGES

- 1** GDP will grow in the long run by additional 1% to 2%.
- 2** Financial documentation will increase and in turn incidence of tax evasion will reduce.
- 3** Uniform seamless market across the country, i.e., one common market.
- 4** Supports one nation - one tax theory.
- 5** It is consumption based, rather than production based.
- 6** It will subsume most of the indirect taxes.
- 7** Transport of goods will become cheaper.
- 8** Substantial reduction in logistics costs.
- 9** Manufactured goods will become cheaper.
- 10** Less corruption & low compliance cost.



Final run-up to GST

The passage of four Bills is a *milestone*, but the *devil lies in the details*



Milestones

1



*This is
a milestone*

Milestones

A stone or post by the
side of road

2

1	PROJECT
2	LAND ACQUISITION
3	FACTORY CONSTRUCTION
4	INSTALATION OF MACHINERY
5	TESTING
6	COMMISSIONING

1, 2, 3, 4, 5, 6, are milestones

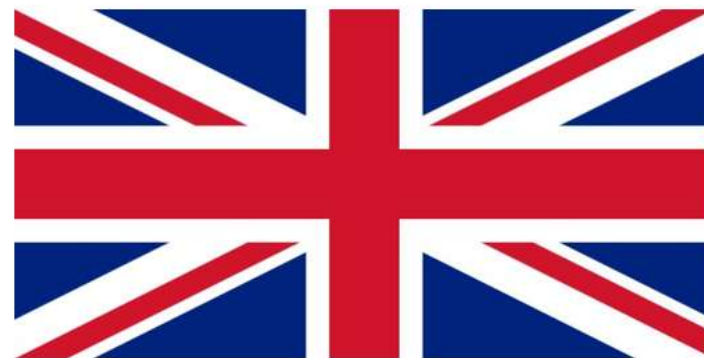
Milestones

Piece of work must be
achieved



Devil lies in the details

Used for saying that something may seem simple, but in fact the details are complicated and likely to cause problems.



The United Kingdom economy is performing well, but the devil is in the details.

Devil lies in the details

Complicated and difficult to understand



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Furore

The government's decision of demonetisation caused a great **furore** in 2016.



Furore

Excitement or an outbreak of public anger



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Nettle

*When I asked for Newspaper, the co-passenger looked at me, clearly **nettled** by the interruption.*



Nettle

To make someone annoyed or slightly angry



Acrimony



*The whole partnership was dissolved into **acrimony**, mistrust and legal wrangling.*



*The debate in Parliament, most of the times is **acrimonious** and without any end result.*

Acrimony

Bitterness or ill feeling



Numerous

*Government of India introduced **numerous** programmes for eradication of poverty, but the resultant outcome is not commensurate with the expenditure.*



मध्याह्न भोजन योजना
Mid Day Meal Scheme



I.C.D.S

Numerous

Many



Misgiving

*The employees have **misgivings** about the way the company is being run.*



Misgiving

A feeling of doubt or apprehension about the outcome or consequences of something



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Consistent

*The student is
consistent in
performance during
his school days*



Consistent

Always happening / behaving in a similar way

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MAJOR DECISIONS OF GST COUNCIL

LIVE

1 Essential goods/ Merit goods are likely to be taxed at 0% or 5%



Vegetables



Fruits



Ambulance



Pharmaceuticals



Vaccines



MAJOR DECISIONS OF GST COUNCIL

LIVE

2 Most of the goods/services will be taxed at 12% and 18%



Air-conditioners



Refrigerators



TV



Car



MAJOR DECISIONS OF GST COUNCIL

LIVE

3 Demerit goods are going to be taxed at 28%



High-end cars



Pan products



Aerated drinks



Tobacco Products



Final run-up to GST

LIVE

BusinessLine

31st March, 2017

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Consensus

*The stakeholders in Syria, i.e. Turkey, Saudi Arabia and the USA are not able to come to the **consensus** to solve the Syrian civil war.*



Consensus

a generally accepted opinion or decision among a group of people / agreement among a group of people



Leeway

*The hectic academic schedule does not provide them a **leeway**.*



Leeway

The amount of freedom to move or act that is available/ Margin of safety



Teething troubles

*Any new company
before
operationalization will
face some **teething
troubles**.*



Teething troubles

*Initial problems/short-term problems that occur in the
early stages of a new project*



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Supply Chain



Cotton



Ginning mill



Textile mill

Supply Chain



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Humongous

*I think everyone will agree that the company suffered **humongous** losses.*



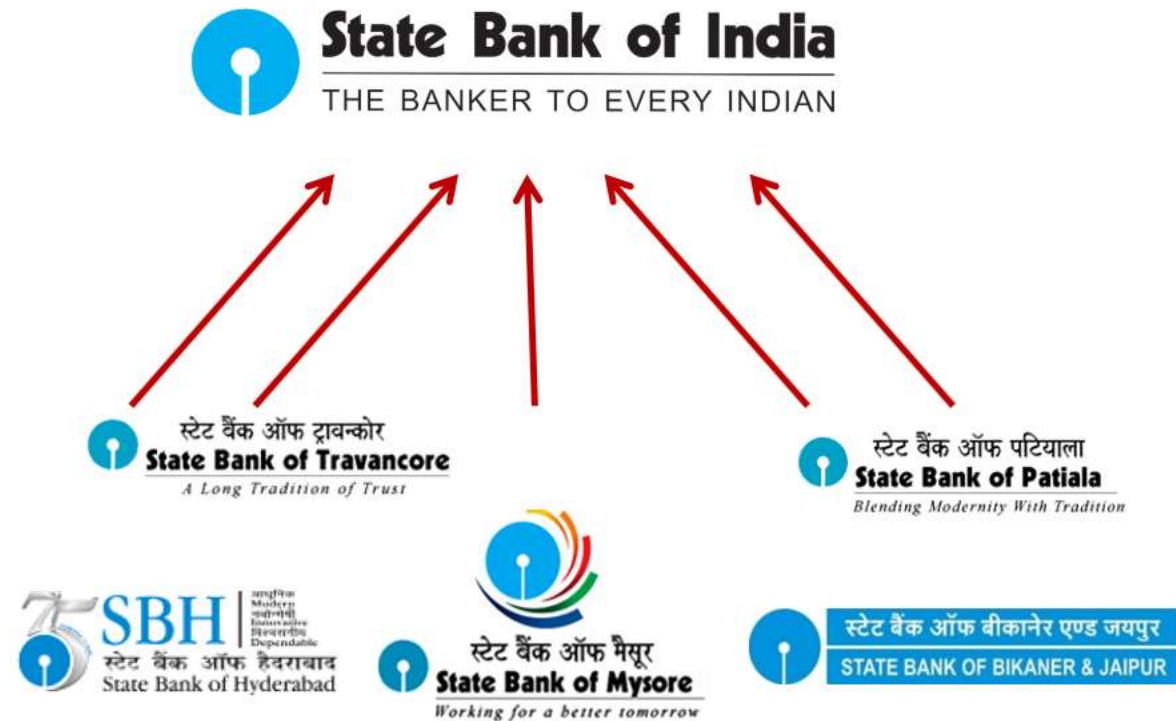
Humongous

Huge/enormous.



Adapt

The employees of the 5 associated banks must **adapt** to the work culture of SBI



Adapt

To change something to suit different conditions



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LIVE

DISCUSSION ON
5th April (tomorrow)

THE ECONOMIC TIMES

Date : 4th April, 2017